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Ministry of Education - Ethiopia

Ministry of Education

Accounting and Finance model Exit Exam

July 2015 E.C

Answers

1) Which of the following is **not a legal requirement on Category 'B' tax payers:**

- A. Use registered vouchers
- B. Submit the Tax Declaration Form to the tax authority within 2 months from the end of the fair year
- C. Submit Balance sheet and a profit & loss statement
- D. Maintain accounting records

C

2) Assume that the sales revenue of ABC Share Company is Birr 10,000,000 during Tax Year ended Sene 30, 2014.

Cost of goods sold was Birr 4,000,000 (determined on the basis of the average cost method) and expenses were Birr 1,000,000.

The operating expenses comprises of salary expense of Birr 270,000, store rent expense of Birr 100,000, a 5% depreciation expense on a not fully depreciated Building with a cost of Birr 4,000,000, a penalty of Birr 40,000, an interest expense of Birr 190,000 on Birr 1,000,000 principal amount of loan where the interest rate between National Bank of Ethiopia and Commercial Banks was 10% and a donation of Birr 200,000 to help its sister Company recover from the fire damage on its working infrastructures.

What is the amount of business tax liability of the Share Company?

- A. Birr 1,629,000
- B. Birr 1,593,000
- C Birr 1,500,000
- D. Birr 1,533,000

B

Sale -----10,000,000	Sale -----10,000,000
CGS----- <u>4,000,000</u>	CGS----- <u>4,000,000</u>
GP-----6,000,000	GP-----6,000,000
Operating expense	Operating expense 1,000,000
Salary expense270000	NI-----5,000,000
Rent expense100,000	+Penalty -----40,000
Dep Exp -----.-200,000	+Interest -----60000
Interest expense -120000 (0.12*1M)	+Donation200000
NI =5,310,000	TBI-----5,310,000
Tax---(5,310,000 *0.3)1,593,000	Tax 5,310,000 *0.3) ----1593000

3) Hubo Company manufactures card tables. The company has a policy of maintaining a finished goods inventory equal to 40% of the next month's planned sales. Each card table requires 3 hours of labor.

- The budgeted labor rate for the coming year is Birr 13 per hour,
- Planned sales for the months of April, May, and June are respectively 4,000; 5,000, and 3,000 units. The budgeted direct labor cost for June for Hubo Company is Birr 136,500.
- What are budgeted sales for July for Hubo Company?

A. 3.500 units

B. 4,000 units

C. 3,750 units

D. 4,250 units

	April, 4,000;	May, 5,000,	June 3,000 unit
EI	0.4*5000 2000	0.4*3000 1200	0.4* July sale -----
BI -	Feb EI	2000	1200
EI = BI+ Unit Produced – unit sold			

D

Direct Labor	136,500
Divide: Cost per Hour	13
Direct Labor Hours	10,500 hours
Divide: Hours per Unit	3
Total Units	3,500
Add: Beginning Inventory (3,000 units x 40%)	1,200
Less: June Sales	3,000
Ending Inventory	1,700
Divide: Percentage	40%
Budgeted Sales - July	4,250 units

4) The function of buying securities from a corporation at a predetermined price and then reselling them in the market by an investment bank is called:

A. Distributing

B. Underwriting.

B

C. Advising.

D. Undertaking.

5)

	Old Machine	Replacement Machine
Original cost	Birr 45,000	Birr 35,000
Useful life in years	10	5
Current age in years	5	0
Book value	Birr 25,000	
Disposal value now	Birr 8,000	
Disposal value in 5 years	0	0
Annual cash operating costs	Birr 7,000	Birr 4,000

The difference between keeping the old machine and replacing the old machine is:

- A. Birr 37,000 in favor of keeping the old machine
- B. Birr 37,000 in favor of replacing the old machine
- C. Birr 12,000 in favor of keeping the old machine
- D. Birr 12,000 in favor of replacing the old machine

C

	OLD	NEW
Cost	...	35000
Dis value		-8000
Operations cost	35000 (5*7000)	20000 (5*4000)
Total	35000	47000

So 12000 Birr Favor For Keping the old Machine

6) According to the acquisition method of accounting for business combinations, costs paid to attorneys and accountants for services in arranging a merger should be:

- A. Capitalized as part of the overall fair value acquired in the merger.
- B. Recorded as an expense in the period the merger takes place.
- C. Included in recognized goodwill.
- D. Written off over a 5-year maximum useful life.

B

7)

	Parent Inc. (carrying value in Birr)	Sub Inc. (carrying value in Birr)	Sub Inc. (fair value in Birr)
Cash	180,000	36,000	36,000
Accounts Receivable	100,000	40,000	40,000
Inventory	60,000	24,000	27,000
Plant and Equipment (net)	200,000	80,000	93,000
Goodwill		8,000	
Trademark		12,000	15,000
Total Assets	540,000	200,000	
Current Liabilities	80,000	50,000	50,000
Bonds Payable	320,000	20,000	24,000
Ordinary Shares	90,000	80,000	
Retained Earnings	50,000	50,000	
Total Liabilities and Equity	540,000	200,000	

Assuming that Parent Inc. acquires 100% of Sub Inc. on August 1, 2022 for cash of Birr 135,000, what would be the amount of goodwill or (a gain from bargain purchase or negative goodwill) appearing on the Consolidated financial statements on the date of acquisition if the identifiable net assets (INA) or partial goodwill method were used?

- A. Birr 2,000
- B. (Birr 2,000)
- C. Birr 7,000
- D. (Birr 7,000)

B

Goodwill, IF Consideration payment > NA of the Acquiree
gain from bargain purchase IF Consideration payment < NA of the Acquiree

NA = FV Asset – FV Liability = (36000+40000+27000+93000+15000) - (50000+24000)
= 211000 - 74000 = 137000
gain from bargain purchase 135000 < 137000 = **2000**

8) In 2021, Cupid Construction Co. (CCC) began work on a two-year fixed price contract project. CCC recognizes revenue over time according to percentage of completion for this contract, and provides the following information (birr in millions)

- Accounts receivable, 12/31/2021 (from construction progress billings) Birr 75
- Actual construction costs incurred in 2021 270
- Cash collected on project during 2021 Birr 210
- Construction in progress 12/31/2021 Birr 414
- Estimated percentage of completion during 2021 60%
- How much cash remains to be collected by CCC on the project?

A. Birr 140 million

B. Birr 405 million

C. Birr 480 million

D. Cannot be determined from the given information.

Cash remains = **Contract price** - cash collected to date

$$\text{Cash remains} = 690 - 210 = 480$$

Construction in progress = Actual costs incurred + **E. Gross profit**

$$\text{E. Gross profit} = 414 - 270 = 144$$

Total Gross profit = Contract price - **Estimated total construction costs**

$$\text{Contract price} = \text{T GP} + \text{E.T.C} = 240 + 450 = 690$$

Total Gross profit = **Estimated GP/%GP** = $144/0.6 = 240$

Estimated total construction costs =

• Percentage completion to date = A. Cost / Total Estimated cost

$$= 60\% = \frac{270}{\text{T. E.C}}$$

$$\text{E.T.C} = 270/0.6 = 450$$

9) Which of the following actions would be likely to shorten the cash conversion cycle?

- A. Change the credit terms offered to customers from 3/10 net 30 to 1/10 net 50.
- B. Adopt a new manufacturing process that speeds up the conversion of raw materials to finished goods from 20 days to 10 days
- C. Adopt a new manufacturing process that saves some labor costs but slows down the conversion of raw materials to finished goods from 10 days to 20 days.
- D. Begin to take discounts on inventory purchases; we buy on terms of 2/10 net 30.

B

$$\text{Cash Conversion Cycle} = \text{DIO} + \text{DSO} - \text{DPO}$$

10) At the end of the year, after adjusting and closing entries, the Overvaluation of Branch Inventory account on the home office books will contain

- A. The markup on the branch's ending inventory.
- B. The markup on the branch's beginning inventory plus the markup on this year's shipments to the branch.
- C. The markup on the branch's ending inventory less the markup on the branch's beginning inventory.
- D. The unrealized profit on branch sales for the year.

A

11) Assume that two parties structure a joint arrangement in an incorporated entity (entity C) in which each party has a 50 per cent ownership interest. The purpose of the arrangement is to manufacture materials required by the parties for their own, individual manufacturing processes.

The arrangement ensures that the parties operate the facility that produces the materials to the quantity and quality specifications of the parties. Assessment of the relevant facts and circumstances indicate that the arrangement is a

D

A. joint operation.

The legal form of entity C (an incorporated entity) through which the activities are conducted initially indicates that the assets and liabilities held in entity C are the assets and liabilities of entity C.

B. Joint vehicle.

The contractual arrangement between the parties does not specify that the parties have rights to the assets or obligations for the liabilities of entity C.

C. Joint structure.

Accordingly, the legal form of entity C and the terms of the contractual arrangement indicate that the arrangement is a joint venture

D. Joint venture.

12) The basic principle used to value an asset acquired in a nonmonetary exchange is to value it at

- A. Fair value or book value, whichever is smaller.
- B. Fair value of the asset(s) given up.
- C. Book value of the asset given.
- D. The book value of the asset given plus any cash or other monetary consideration received.

Fair value of assets either given up or received, whichever is more clearly evident, plus any cash or other monetary consideration.

B

13) Elizabeth, a public limited company, has granted 100 share appreciation rights to each of its 1,000 employees in January 2014. The management feels that as of December 31, 2014, 90% of the awards will vest on December 31, 2016. The fair value of each share appreciation right on December 31, 2014, is Birr10.

What is the fair value of the liability to be recorded in the financial statements for the year ended December 31, 2014?

A. Birr 10 million

$$(100 \times 1000 \times 90\% \times \text{Birr } 10 \times 1/3) \\ 300,000$$

B. Birr 90,000

C. Birr 300,000

D. Birr 100,000

C

14) Western PLC uses periodic inventory system. The following balances were taken from its accounting record:

Merchandise inventory balance as of March 1, 2023	Birr 400,000
Merchandise inventory balance as of March 31, 2023.	Birr 150,000
Purchase during the period.	Birr 510,000
Purchase discount..	Birr 10,000
Freight out	Birr 5,000

The cost of merchandise sold is:

A. Birr 750,000

A

B. Bir 760,000

$$\text{NP} = \text{P} - \text{PRA} - \text{PD} = 510,000 - 10,000 = 500,000$$

$$\text{CMP} = \text{NP} + \text{Freight in} = 500,000 + 0$$

$$\begin{aligned}\text{CGS} &= \text{BI} + \text{CMP} - \text{EI} = 400,000 + 500,000 - 150,000 \\ &= 750,000\end{aligned}$$

C. Birr 250,000

D. Birr 745,000

15) Which of the following is **FALSE** about public debt

- A. Public debt may be raised to meet the normal current expenditure, exigencies like war, finance productive government enterprise, finance public social welfare and economic development.
- B. It is one source of financing budget deficit.
- C. It can only be used to promote economic development not to finance wars.
- D. Public debt raised for productive purpose will not be a burden on the economy,

C

16) A products standard cost card specifies that a unit of the product requires 4 direct labor-hours. During September, 3350 units were made, which was 150 units less than budgeted.

The total budgeted direct labor cost for September was Bir 117,600.

The direct labor cost incurred during September was Birr 111,850 and 13,450 direct labor-hours were worked.

The direct labor efficiency variance for the month was:

- A. Birr 415.80 Favourable
- B. Bir 415.80 Unfavourable
- C. Birr 420.00 Unfavourable
- D. Birr 420.00 Favourable

Labor efficiency variance= (Actual hours - Standard hours)*Standard rate

Standard units= 3350+150= 3500 units

Standard hours= 3350*4= 13400 hours

Standard rate= 117600/(3500*4)= 8.40

Labor efficiency variance= (Actual hours - Standard hours)*Standard rate
= (13450-13400)*8.4= 420 U

It is favorable if the actual hours worked is lower than the standard hours and unfavorable if the actual hours worked is higher than the standard hours.

C

17) The "excess of the acquirer's interest in the net fair value of acquiree's identifiable assets, liabilities, and contingent liabilities over cost" (formerly known as negative goodwill) should be:

- A. Carried as a capital reserve indefinitely.
- B. Recognized in retained earnings.
- C. Recognized immediately in profit or loss.
- D. Amortized over the life of the assets acquired.

C

18) Which of the following statement is correct?

- A. When sales journal is used daily posting is made to control account and monthly posting of total is made to subsidiary ledger
- B. General journals are designed to record a single kind of transaction that occurs frequently.
- C. Companies create subsidiary ledgers whenever they need to monitor the individual components of a controlling general ledger account
- D. The combined balance of every account in credit customer's subsidiary ledger equals the balance of accounts Payable in the general ledger

C

19) What is the major source of revenue for an insurance company?

- A. Salvage
- B. Rental income
- C. Insurance premiums
- D. Interest income

C

20) Which of the following method can help the auditor to reduce non-sampling risk?

- A. Using a representative sample
- B. Reducing supervision
- C. Careful design of audit procedure
- D. Increasing sample size

C

21) The additional incentive that a buyer of a Treasury security requires to buy a long term security rather than a short-term security is called:

A. Term premium.

B. Tax premium.

C. Market premium.

D. Risk premium.

A

22) Assuming that the ideal measure of short-term receivables in the statement of financial position is the discounted value of the cash to be received in the future, failure to follow this practice usually does not make the statement of financial position misleading because:

- A. The allowance for uncollectible accounts includes a discount element.
- B. Most receivables can be sold to a bank or factor.
- C. Most short-term receivables are not interest-bearing.
- D. The amount of the discount is not material

D

Short term receivables are the receivables which are due within a period of 1 year. The discounted cash flows of the short term receivables will be almost equal to the receivables amount.

23) Rice Industries owns a manufacturing plant in a foreign country. Political unrest in the country indicates that face choose investigate for possible impairment. Below is information related to the plant's assets (Birr in millions)

Book value Birr 190

Undiscounted sum of future estimated cash flows 210

Present value of future cash flows 175

Fair value less cost to sell (determined by appraisal) 180

A

The amount of impairment loss that Rice should recognize is:

A. Birr 10 million

impairment loss , If $CV > \text{Recoverable amount}$

B. Birr 20 million

Recoverable amount is the height of value in used and Fair value less to cost

C. Birr 15 million

FV Less to cost = 180

Value in used = 175

D. There is no impairment.

Recoverable amount = 180

$CV > RV$ BY 10M so the impairment loss = 10 M

$190 > 180$

24) Which of the following may be used by managers to discourage unnecessary use of service of a support department by user departments?

- A. Allocate support department costs based upon user department usage
- B. Prohibiting user departments from using service of support departments
- C. Allocate a fixed amount of support department costs to each department regardless of use
- D. Not allocate any support department costs to user departments

A

25) A business has acquired a special purpose machine at a cost of Birr 100,000.

After it is purchased it known that it was unwise is to buy this item. No amount of regret can relieve the firm from this decision and there is no any future decision that can avoid this cost.

What is the appropriate classification for this cost?

- A. Sunk cost
- B. Uncontrollable cost
- C. Management cost
- D. Period cost

A

26) Which of the following is correct?

- A. Declaration of all types of dividend reduces cash balance.
- B. As compared to other form of businesses it is difficult to raise funds in share companies.
- C. Shareholders equity account is credited by authorized shares multiplied by par value.
- D. Dividend payable is recorded on the date of declaration of dividend.

D

27) Which of the following is **least likely to cause uncertainty about the ability of an entity to continue as a going concern ?**

- A. The entity has working capital deficiencies
- B. The entity has lost a major customer
- C. The entity has significant recurring operating losses
- D. The entity has a court case with competitor for a minor patent infringement

D

28) X control over the composition of Y's board of directors. X owns 49% of Y and is the largest shareholder. X has an agreement with Z, which owns 10% of Y, whereby Z will always vote in the same way as X. Can X exercise control over ?

- A. X can exercise control because it controls more than 50% of the voting power, and it can govern the financial and operating policies of Y.
- B. X cannot exercise control because it owns only, 49% of the voting rights.
- C. X can exercise control solely because it has an agreement with Z for the voting rights to be used in whatever manner X wishes.
- D. X cannot exercise control because it can control only the makeup of the board and not necessarily the way the directors

A

29) In case of property held under an operating lease and classified as investment property.

- A. The entity has to use the fair value model only.
- B. The entity has to account for the investment property under the cost model only.
- C. The entity has the choice between the cost model and the fair value model.
- D. The entity needs only to disclose the fair value and can use the cost model.

A

A property interest that is held by a lessee under an operating lease may be classified and accounted for as investment property if, and only if,

- (a) the property would otherwise meet the definition of an investment property, and
- (b) the lessee uses the fair value model set out in paragraphs 42–64 for the asset recognized.

30) The variance that is **BEST** for measuring operating performance is the:

- A. flexible-budget variance
- B. sales-volume variance
- C. selling-price variance
- D. static-budget variance

A

31) High Dividend may increase stock values due to all of the following reasons **except:**

- A. higher dividends allow companies to increase their proportion of external equity financing
- B. dividends are used as a tool to minimize agency costs
- C. higher dividends are used to signal higher expected future earnings
- D. dividends are more certain than capital gains

Paying higher dividends will decrease the cash available to firm. It will not help in anyway to firm to increase external equity financing.

A

32) Which of the following is FALSE?

- A. Audit is classified as internal & external based on the type of information audited
- B. Internal auditors independence is maintained by organizational structure
- C. The value of assurance depends on the independence of the assurance provider
- D. Organizations use audited financial statement to reduce information risk

A

33) For which of the following funds, would a government be **least likely** to record its annual budget and thereby integrate to accounting system?

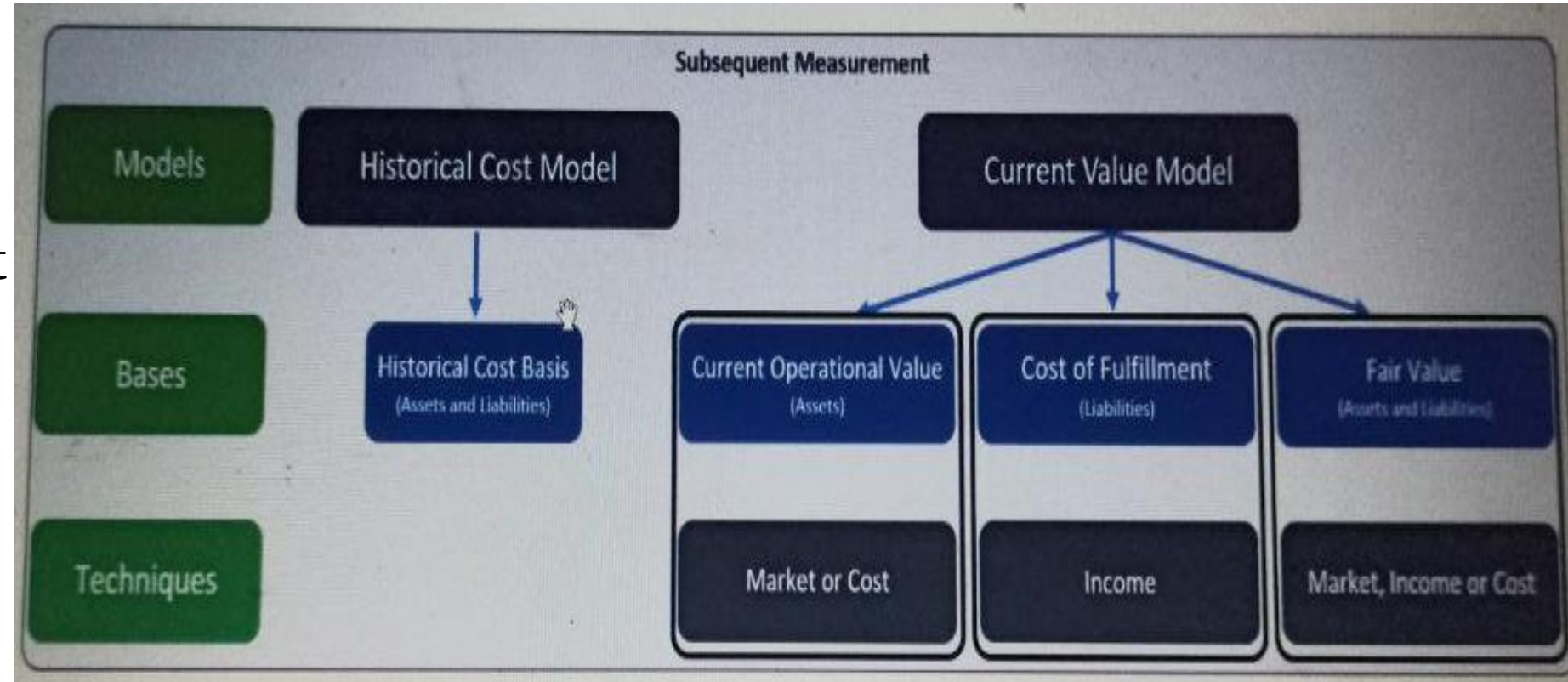
- A. Enterprise fund
- B. Special revenue fund
- C. General fund
- D. Capital project fund

A

34) Which of the measurement bases identified in the Conceptual Framework of IPSASB for liabilities will often be the relevant measurement basis for liabilities?

- A. Cost of release
- B. Cost of fulfillment
- C. Assumption price
- D. Historical cost

B



35) The auditor tests entity's policy of obtaining credit approval before shipping goods to customers to support which of the following management assertions?

A. Completeness

B. Valuation or allocation

C. Existence or occurrence

B

D. Rights and obligations

Testing credit approval before shipping goods to customers tests the valuation assertion.

This test addresses the collectability of accounts receivable.

36) Last year a small-firm had sales of Birr 205,000, assets of Birr 127,500, a profit margin of 5.3%, and an equity multiplier of 12.

The finance manager believes that the company could reduce its assets by Birr 21,000 without affecting its profit margin.

Had reduced its assets in this amount, and had the debt ratio, sales, and profit margin remained constant, by how much would the ROE have changed?

A. 2.22%

B. 2.02%

C. 1.81%

D. 2.44%

B

When asset = 127,500

$ROE = \text{Net Profits} / \text{Equity Capital}$

$ROE = PM * AT \times EM = 0.053 * 1.6078 * 12 = 0.1023 \text{ Or } 10.23\%$

$AT = \text{Sale} / \text{Asset} = 205,000 / 127,500 = 1.6078$

Assets reduced by \$21,000 No effect in sales and cost

$\text{Assets} = 127,500 - 21,000 = 106,500$

When asset = 106,500

$ROE = PM * AT \times EM = 0.053 * 1.9248 * 12 = 0.1224 \text{ or } 12.24\%$

$AT = \text{Sale} / \text{Asset} = 205,000 / 106,500 = 1.9248$

So, $12.24 - 10.23 = 2.02 \%$

37) Abebu is an employee in one of the factory owned by the government in Ethiopia. Her monthly salary is Birr 2,600.

She has taxable allowance of Birr 300 and a non-taxable allowance of Birr 200. She earned an overtime of Birr 100

What is the amount of tax deducted from Abebu's earning?

A. Birr 307.50

B. Birr 247.50

C. Birr 277.50

D. Birr 300

A

$$GE = 2600 + 300 + 200 + 100 = 3200$$

$$\begin{aligned} \text{Taxable income} &= GE - \text{non taxable income} \\ &= 3200 - 200 = 3000 \end{aligned}$$

0 – 600		0	0
600 -1650	0.1	60	
1650-3200	0.15	142.5	

$$(3000 * 0.15) - 142.5 = 307.5$$

38) Which of the following is part of the analytical procedures applied to assess the likelihood of material misstatements in depreciation expense and accumulated depreciation?

- A. Examine for classification errors such as expensing assets
- B. Compare depreciation expense divided by gross equipment cost with previous years
- C. Examine vendor invoice for additions
- D. Perform physical inventory of fixed assets

B

39) Slick Co. had a Swiss franc receivable resulting from exports to Switzerland and a Mexican peso payable resulting from imports from Mexico.

Slick recorded foreign exchange gains related to both its franc receivable and peso payable. How did the foreign currencies increase or decrease in Birr value from the date of the transaction to the settlement date?

A

A. Increase Franc, Decrease Peso

B. Increase Franc, Increase Peso

The exporter is exposed to the risk that the foreign currency might depreciate (decrease in value)

C. Decrease Franc Decrease Peso

The importer is exposed to the risk that the foreign currency might appreciate (increase in price),

D. Decrease Franc Increase Peso

40) You own two annuities that will each pay Birr 500 a month for the next 12 years. One payment is received at beginning of each month while the other is received at the end of each month. At a discount rate of 7.25% compounded monthly what is difference in the present values of these annuities?

A. Birr 308.00

B. Birr 265:42

C. Birr 289.98

D. Bin 299.01

$$\text{PV of ordinary annuity} = \text{Pmt} \left[\frac{1 - \frac{1}{(1+i)^N}}{i} \right] = 500 \left[\frac{1 - \frac{1}{(1+0.0725/12)^{12*12}}}{0.0725/12} \right] = 47996.69$$

$$\begin{aligned} \text{PV of annuity due} &= \text{PV ordinary annuity} (1+i) \\ &= 47996.69 [1 + (0.0725/12)] \\ &= 48286.59 \end{aligned}$$

C

$$\begin{aligned} \text{difference in the present values of these annuities} &= 48286.59 - 47996.69 \\ &= 289.9 \end{aligned}$$

41) Which of the following is commonly traded in the money market

A. Preferred shares

B. Treasury note

C. Government bond

D. Treasury bill

D

42) Lower-of-cost-or-net realizable value as it applies to inventory is best described as

- A. The change in inventory value to net realizable value
- B. The assumption to determine inventory flow.
- C. The reporting of a-loss when there is a decrease in the future utility below the original cost.
- D. The method of determining cost of goods sold

C

43) Central City was awarded two state grants during its fiscal year ending September 30, 2020: a Birr 2 million block grant that can be used to cover any operating expenses incurred during fiscal 2021, and a Birr 1 million grant that can be used any time to acquire equipment for its police department.

For the year ending September 30, 2020, Central City should recognize in grant revenue in its fund financial statements (in millions):

- A. Birr 2 million
- B. Bir 1 million
- C. Birr 0
- D. Birr 3 million

B

44) Which of the following is **not** among the responsibilities of an auditor?

- A. Performing an audit with an attitude of professional skepticism
- B. Maintaining adequate internal control system
- C. Detecting material misstatements in the financial statement
- D. Detecting direct-effect illegal acts

B

45) The contribution margin ratio always increases when the:

- A. Break-even point increases.
- B. Variable expenses as a percentage of net sales decrease.
- C. Break-even point decreases.
- D. Variable expenses as a percentage of net sales increase.

B

$$\text{CM Ratio} = 1 - \text{Vc Ratio}$$

46) On January 1, 2022. Bright light Hotel purchased a walking machine for Birr 30,000. The machine has estimated useful life of FIVE years and has a residual value of Birr 5,000. The company uses double declining balance method. What will be the amount of depreciation expense for the year ending December 31, 2022 ?

Rate = (1/n) * 2 = (1/5) *2 = 0.4

A. Birr 12.000	B. Book value	rate	dep Ex	Acc Dep exp	E book value
	30,000	0.4	12,000	12,000	18000
B. Bir 10,000					
C. Birr 5,000	A				
D. Barr 25,000					

47) The accounting equation shows

- A. The equality of net income with net loss
- B. The equality of asset with owner's equity
- C. The equality of resources with sources
- D. The equality of revenue with expense

C

Assets = Liabilities. + Owner's Equity.

The right side **shows** where the **money** came from to buy the **assets**.

The left side show where the money goes

48) Which of the following is **not** one of the five classes of transactions included in the sales and collection cycle?

A. Interest income

B. Write-off of uncollectible accounts

C. Bad debt expense

D. Sales returns and allowances

A

49) Sharp Company uses specific identification method to value its inventory it purchases Coming at different costs as follows:

January 5 : 2 units at a cost of Birr 2,000

February 8: 3 units at a cost of Birr 3,000

June 10 :5 units at a cost of Birr 4,000

On June 25, 6 units are sold at Bir 5,000 each.

From the items sold, 3 units are from February 8's purchase and June 10 purchase. The amount of cost of goods sold and ending inventory as of June 30 areand..... respectively

- A. Birr 17,000 and Birr 16,000
- B. Birr 12,000 and Birr 21.000
- C. Birr 21,000 and B 12.000
- D. Birr 30000 and Ber 20,000

C

February 8's	3 * 3000 = 9000
June 10 purchase	3 * 4000 = <u>12000</u>
	CGS = 21,000
Unsold unit	
Jan	2*2000 =4000
June	2*4000= <u>8000</u>
	EI= 12000

50) A Company is planning its operations the coming year, and the CEO wants you to the firm's additional funds needed (AFN). The firm is operating at full capacity. Data for use in the forecast are shown below. However, the CEO is concerned about the impact of a change in the pay-out ratio from the 10% that was used in the past to 50%, which the firms investment bankers have recommended.

Based on the AFN equation, by how much would the AFN for the coming year change If the Company increased the pay-out from 10% to the new and higher level? All Birrs are in millions

Last year's sales (S) Birr 300.0

Sales growth rate (g) 40%

Last year's total assets (A) Birr 500.0

Last year's profit margin (PM) 20.0%

Last year's accounts payable Birr 50.0

Last year's notes payable Br 15.0

Last year's accruals Birr 20.0

Initial pay out ratio 10%

A. Birr 319

B. Bir 33.6

C. Bin 35.3

D. Birr 37.0

B

AFN = Change in Asset – Change in liability – change in retained earning

For payout ratio = 10%:

Change in Asset = $500 * 0.4 = 200$

Change in liability = $(50 + 20) * 0.4 = 28$

change in retained earning

Increase in Retained earnings = forecasted sale * PM * b

= $(300 * 1.4) * 20\% * (1 - 0.1) = 75.6$

AFN = $200 - 28 - 75.6 = 96.4$ million

- **For payout ratio = 50%:**

Increase in Retained earnings = forecasted sale * PM * b

- $(300 * 1.4) * 20\% * (1 - 0.5) = 42$

AFN = $200 - 28 - 42 = 130$ million

-

AFN change = $130 - 96.4 = 33.6$

51) Which of the following adjustments do **not** occur in the consolidating process?

- A. Allocations of difference between implied and book values.
- B. Elimination of the investment account
- C. Elimination of intra company balances
- D. Elimination of parents retained earnings

D

52) A Company issues its annual financial reports within one month of the end of the year. This is an example of was enhancing quality of accounting information?

A. Relevance

B. Verifiability

C. Timeliness

C

D. Confirmatory value

53) The auditor wants to examine whether shipping documents are properly billed. He selected 100 shipping documents from a population of 1,000 shipping documents and performed examination. 5 unbilled shipping documents were found if the tolerable deviation rate is 4%, which one of the following is FALSE?

- A. The auditor needs to test alternative controls to achieve the objective"
- B. The auditor needs to extend sample size
- C. The auditor needs to modify audit opinion
- D. The auditor needs to extend substantive procedures

C

54) The principal lender-savers in a financial system are:

- A. Businesses.
- B. Governments.
- C. Households.
- D. Foreigners.

C

55) Before 3 years, HH Company issued 10,000 shares, Birr 100 par value ordinary shares at Birr 120 per share. The following transactions occurred during the current year.

- October 1: Purchased 2,000 shares for the treasury at Birr 90 per share.
- December 5: Sold 1,000 treasury shares at Birr 95 per share
- December 31: Dividend of Birr 45,000 is declared.
- Based on the above information, which of the following is correct?

A. Treasury stock account is credited for Birr 120,000

Cash (120*10000).....	1,200,000
Ordinary share .(100*10000)....	1,000,000
Share premium (20*10000)	200,000

B. Dividend per share is Birr 4.5

C. Dividend per share is Birr 5

C

Oct 1= treasury Share (2000*90).....	180,000
Cash	180000
Dec 5) = Cash .(1000*95).....	95000
Treasury Share...(1000*90)	90000
Share premium (1000*5).....	5000

D. Cash is debited by Birr 120,000.

Dec 31 = DPS = Dividend / Numbers of outstanding share
 $45000 / 900 = 5$

56) Relevant costs of a make-or-buy decision include all of the following EXCEPT

- A. Fixed salaries that will not be incurred if the part is outsourced
- B. Current direct material costs of the part
- C. Material-handling costs that can be eliminated.
- D. Special machinery for the part that has no resale value.

D

57) JJ manufacturing uses process costing system with two departments: Department A and Department B. It uses weighted average method.

Which of the following is correct to compute cost per equivalent unit for a given cost component?

- A. Current period cost less the cost of beginning inventory divided by EUP
- B. Current period cost plus the cost of ending inventory divided by ELIP
- C. Current period cost plus the cost of beginning inventory divided by EUP
- D. Current period cost divided by FUP

C

58) Which one of the following is **not** an insurance risk?

- A. A possible change in a non-financial variable that is not specific to a party to the contract
- B. Loss of property due to damage or theft.
- C. possible change in a non-financial variable that is specific to a party to the contract.
- D. Failure of a debtor to make a payment when it is due.

A

59) Which of the following principle may reduce or entirely eliminate auditor liability to a client?

- A. Auditor ordinary negligence
- B. Client contributory negligence
- C. Auditor gross negligence
- D. Client constructive negligence

B

60) Bonds are sold to finance the construction of a new public safety station. Bond proceeds equal to the face value of the bonds are reported in a Capital Projects Fund as:

- A. other financing source
- B. deferred inflow of resources
- C. other financing use
- D. a revenue

A

61) M&M Proposition I with taxes is based on the concept that:

- A. The value of the firm increases as total debt increases because of the interest tax shield.
- B. The capital structure of the firm does not matter because investors can use homemade leverage.
- C. The optimal capital structure is the one that is totally financed with equity.
- D. The weighted average cost of capital increases as the debt-equity ratio of a firm increases

A

62) Which of the following is **not** true about maturity matching financing approach:

- A. Exact maturity matching is difficult as there is uncertainty about the lives of assets and as some common equity must be used.
- B. Maturity matching seeks to avoid financing long-term assets with long-term borrowing
- C. It matches asset and liability maturities.
- D. It minimizes the risk that the firm will be unable to pay off its maturing obligations

B

63) On January 1, 2022, Star Ethiopian coffee exporter, shipped \$120,000 worth of inventory to its main US distributor, with full payment of these goods due by February 28, 2022. Star has a January 31 year end.

A list of significant dates and exchange rates is shown below.

Transaction Date: January 1, 2022 US \$1 Birr 59.332

Year-End Date: January 31, 2022 US \$1 Birr 59.384

Settlement Date: February 28, 2022 US \$1- Birr 59.540.

The invoice price billed by Star was US \$120.000. What is the amount of Star's foreign exchange gain or loss at year-end?

A. Birr 6,240 loss

AR ----(59.332*120,000) --- 7,119,840

B. Birr 24,960 gain

Sale7119840

C. Bir 6,240 gain

AR (59.384-59.332)*120,000.....6240

Gain on FX.....6240

D. Nil foreign exchange gains or losses are deterred to settlement

C

64) The amortized cost method of accounting for investments is **not applicable to:**

A. Trading debt instruments.

B. Trading equity instruments.

C. Held-to-maturity debt instruments.

B

D. Available-for-sale debt instruments.

65) Hope Bank purchased a Special Copier machine. The machine, costs Birr 340,000, and was estimated to have useful life of 10 years.

The estimated residual value is Birr 40,000. After two years of service it became evident that the copier machine's total useful life is 7 years instead of 10 years.

Depreciation was recorded for two years based on straight line method. There is no change on estimated residual value. Based on this information, what is the new annual depreciation charge on the basis of the revised estimated useful life?

A. Birr 52,000

B. Birr 56,000

C. Birr 42,500

D. Bir 30,000

B

Original depreciation expense = $[(340,000 - 40,000) \div 10] = 30,000$

Accumulated depreciation after 2 years = $2 \times 30,000 = 60,000$

Book value = $340,000 - 60,000 = 280,000$

Book value after 2 years of depreciation	280,000
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Less: New salvage value	0
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Depreciable cost	280,000
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Remaining useful life	5 years
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Revised annual depreciation $(280,000 \div 5)$	56,000
--	--------

66) Your firm is considering investing in one of two mutually exclusive projects.

Project A requires an initial outlay of fir 3,500 with expected future cash flows of Birr 2,000 per year for the next three years.

Project B requires an initial outlay of birr 2,000 with expected future cash flows of Birr 1,500 per year for the next two years. The appropriate discount rate for your fam is 12% and it is not subject to capital rationing.

Assuming both projects can be replaced with a similar investment at the end of their respective lives, compute the NPV of the two chain cycle for Project A and three chain cycle for Project B

- A. Birr 3.528 and Birr 136
- B. Birr 5,000 and Birr 1,500
- C. Birr 2.232 and Birr 85
- D. Birr 2,865 and Bim 94

C

	Project A	Project B
Cash outflows	-3500	-2500
Cash inflows:		
	2000	1500
	2000	-1000 (1500)
	-1500 (2000)	1500
	2000	-1000 (1500)
	2000	1500
	2000	1500
	<u>2000</u>	<u>1500</u>
NPV	2,232	85

$$NPV = \frac{Cash\ Flow_1}{(1+r)^1} + \frac{Cash\ Flow_2}{(1+r)^2} + \frac{Cash\ Flow_n}{(1+r)^n} - Initial\ Investment$$

67) Creditors and investors would generally find the statement of cash flows **least** useful for assessing the

- A. Financial position at a point in time.
- B. Ability to pay dividends.
- C. Ability to generate future cash flows.
- D. Quality of earnings.

A

68) HH Company uses process costing system in weighted average method. Record for department 1 the following for March 2022:

- Beginning Work in process, 80% complete as to cost 5000 units
- Units started in March. 25,000
- Ending work in process, 25% complete as to Conversion cost. 8,000
- **Beginning work in process inventory cost:**
- Material... Birr 20,000
- Conversion cost. 60,000
- **Costs in March:**
- Material Birr 34,000
- Conversion cost 72,000
- All material is added at the start of the process and all finished products are transferred out. What is cost equivalent unit of production for material and conversion cost?

- A. Birr 1.70 and 5.30 respectively
- B. Birr 1.80 and Br 5.50 respectively
- C. Birr 2.70 and 6.6 respectively
- D. Birr 2.20 and 5.40 respectively

B

		(Step 1)	(Step 2)	
			Equivalent Units	
Flow of Production		Physical Units	Direct Materials	Conversion Costs
BWIP		5000		
Unit started		25000		
Total		30000		
Unit Completed		22,000	22,000	22000
EWIP		8000	8000	2000 (8000*0.25)
Total		30000	30000unit	24000 unit
Beginning cost			20000	60000
Cost add current			34000	72000
Total			54,000 Birr	132000 Birr
Unit cost			<u>54000</u> 30000	<u>132000</u> 24000
			1.8 birr/unit	5.5Birr/ unit

69) Which one of the following tasks is **NOT** part of the recording process?

A. Posting journal entries

B. Entering transactions in a journal

C. Preparing an income statement

D. Analyzing transactions

C

70) If one able to fully diversity, what is the appropriate measure of risk to use?

A. Beta

B. Standard Deviation

C. Risk-free Rate of Return

D. Expected Return

A

71) Accounts and notes receivable are reported in the current assets section of the statement of financial position

A. Invoice cost

B

B. Net realizable value

C. Lower-of-cost-or-net realizable value

D. Net book value

72) When agricultural produce is harvested, the harvest should be accounted for by using IAS 2 Inventories, or another applicable International Accounting Standard. For the purposes of that Standard, cost at the date of harvest is deemed to be

- A. Its fair value less estimated point-of-sale costs at point of harvest.
- B. The historical cost of the harvest.
- C. Market value
- D. The historical cost less accumulated impairment losses

A

73) At the beginning of the year, a company purchases a patent for Birr 2,400,000. The remaining legal life of the patent is 12 years but management estimates that the patent will generate additional revenue for the next 16 years because there are currently no known competitors.

At the end of the first year, management calculates straight-line amortization to be Birr 150,000

Which of the following statements is correct?

- A. Management's calculation is correct.
- B. Management should not amortize the asset until its useful life becomes more evident.
- C. Management should amortize the asset over 20 years.
- D. Management should amortize the asset over 12 years

D

74) Substantive procedures to examine the cut-off assertion for accounts payable include

- A. Re-computing the mathematical accuracy of a sample of vendor invoices
- B. Selecting a sample of receiving reports around year-end and comparing dates on related vouchers to date the purchases journal
- C. Selecting a sample of vouchers and agreeing them to authorized purchase orders
- D. Selecting a sample of vouchers and agreeing them to the purchases journal

B

The cut-off assertion is used to determine whether the transactions recorded have been recorded in the appropriate accounting period.

75) Which of the following statements is **FALSE** about a partnership business?

- A. A partnership business is similar to a sole proprietorship business except in the number of owners
- B. When a partnership is not solvent, creditors can claim recovery from personal assets of partners
- C. In a general partnership there should be at least one limited partner
- D. In a partnership business, an asset contributed by one partner is jointly owned by all

General partners have unlimited personal liability for all the business's debts and liabilities, and any partner can commit the firm to obligations.

C

A limited partnership is a partnership having one or more general partners and one or more limited partners.

76) The following cost information is taken from Chereka textile firm:

Cost of Cotton used in production during the period.	600,000
Factory supervisors salary.....	100,000
Cost incurred for factory labor converting cotton in to tape.....	300,000
Factory overhead cost other than indirect labor.....	80,000

Based on the above information, what is the amount of prime cost?

- A. Birr 600,000
- B. Bir 900,000
- C. Birr 480,000
- D. Birr 400,000
- B**
- Prime cost = Direct material cost + Direct Manufacturing labor cost
= 600,000 + 300,000
= 900,000

77) Which one of the following is **FALSE** about perpetual inventory system?

- A. Average costs are computed as a simple average of unit costs incurred.
- B. Inventory records continuously show balances that should be on hand.
- C. Cost of goods sold is determined after each sale
- D. FIFO cost of goods sold will be the same as in a periodic inventory system.

A

78) A competitor has sued an entity for unauthorized use of its patented technology. The amount that the entity may be required pay to the competitor if the competitor succeeds in the lawsuit is determinable with reliability, and according to the legal counsel it is less than probable (but more than remote) that an outflow of the resources would be needed to meet the obligation. The entity that was sued should at year-end

- A. Make no provision or disclosure and wait until the lawsuit is finally decided and then expense the amount paid on settlement, if any.
- B. Set aside as an appropriation, a contingency reserve, an amount based on the best estimate of the possible ability
- C. Recognize a provision for this possible obligation.
- D. Make a disclosure of the possible obligation in the footnotes to the financial statements

D

79) The primary purpose of deposit insurance is to

- A. Protect bank employees from unemployment
- B. Improve the flow of information to investors
- C. Prevent banking panics.
- D. Protect bank shareholders against losses.

When numerous banks face the same problem simultaneously, panic sets in, culminating in an economic downturn, economic instability, and a systemic banking crisis.

C

It can be avoided by banks providing loans, selling assets, limiting withdrawals, and borrowing more capital from other financial institutions.

80) Which of the following transactions involving the issuance of shares does **not come within the definition of a share based payment?**

- A. Employee share option plans.
- B. Employee share purchase plans.
- C. Share-based payment relating to an acquisition of a subsidiary.
- D. Share appreciation rights.

C

The following transactions are **not** in the scope of IFRS 2:

- ⦿ (a) transactions with counterparties (employees) acting as shareholders rather than as suppliers of goods or services;
- ⦿ (b) transactions in which a share-based payment is made in exchange for control of a business (I.e., business combination);
- ⦿ (c) commodity-based derivative contracts that may be settled in shares or rights to shares.

81) Which of the following items should be accounted for in an Agency Fund when a special assessment project is financed by issuing special assessment debt for which the government is not obligated in any manner?

A. The long-term debt issued.

B

B. The debt service transactions.

C. The bond proceeds and construction costs.

D. The capital assets constructed or acquired.

82) The main purpose for establishing a code of conduct for professionals is to:

- A. Protect members of the profession from being sued for substandard work
- B. Demonstrate acceptance of responsibility to the interests of those served by the profession
- C. Enable users to evaluate by themselves the quality of professional services
- D. Guarantee that all members of the profession perform at the same level of competence

B

83) Typically, borrowers have superior information relative to lenders about the potential returns and restricted with an investment project.

The difference in information is called:

A. Adverse hazard.

B. Asymmetric information.

C. Risk sharing.

D. Moral selection.

B

84) Company purchases a one-year insurance policy on June 1 for Birr 5,520. The adjusting entry on December 31 is

- A. debit Prepaid Insurance, Birr 5,520, and credit Cash, Birr 5,520
- B. debit insurance Expense, Birr 2,760, and credit Prepaid Insurance, Birr 2,760
- C. debit Insurance Expense, Birr 3,220, and credit Prepaid Insurance, Birr 3,220
- D. debit Insurance Expense, Birr 2,300, and credit Prepaid Insurance, Birr 2,300

C

Insurance Expense, Birr 3,220

Prepaid Insurance, Birr 3,220

$5520/12 = 460$ So $460 \times 7 = 3220$

85) All of the following are advantages of indirect tax over direct tax except:

- A. In the case of indirect tax, the tax burden is distributed on different sections of the society in a just and equitable manner.
- B. Tax evasion is relatively difficult in the case of indirect tax as taxes are included in the prices of commodities
- C. Indirect tax has wider scope than direct tax.
- D. Indirect taxes are more convenient to the taxpayers than direct tax.

A

86) Which one of the following is most appropriate to align management's priorities with shareholders interests?

- A. Paying a special management bonus on every fifth year of employment
- B. Holding corporate and shareholder meetings at high-end resort-type locations preferred by managers
- C. Increasing the number of paid holidays that long-term employees are entitled to receive
- D. Compensating managers with company shares that must be held for a minimum of three years

D

87) A corporation acquires new funds only when its securities are sold in the

- A. Primary market by a stock exchange broker.
- B. Primary market by an investment bank.
- C. Secondary market by a securities dealer.
- D. Secondary market by a commercial bank.

B

88) All of the following are examples of temporary book-tax differences except

A. Depreciation

B. Product warranty costs.

C. Payment of premiums for life insurance

D. Contingent liabilities

D

89) Which of the following statements is **true** for both governmental organizations and for-profit organizations?

- A. Revenue may be earned through exchange transactions.
- B. Absence of owners.
- C. Lack of a profit motive.
- D. Resources are provided by individuals and entities that may not directly benefit from the use of the resources

A

90) The repayment of bond principal should be reported in the fund statements of a debt service fund as

A. A reduction of bonds payable

B. An expenditure

C. A direct charge to fund balance

B

D. An "other financing use"

91) The City of Turkana arranged for a 10-year, Birr 40 million loan to finance construction of a toll bridge.

If the toll bridge is accounted for as an Enterprise Fund activity and a certain portion of the tolls collected is required to be set aside for maintaining the bridge, these resources should be accounted for in

- A. the Toll Bridge Enterprise Fund
- B. the General Fund
- C. a Capital Projects Fund
- D. a Debt Service Fund

A

92) On November 30, year 1, Star, Inc. purchased for cash at Birr 15 per share all 250,000 shares of the outstanding common stock of Green Co.

At November 30, year 1, Green's statement of financial position showed a carrying amount of net assets of Bir 3,000,000. At that date, the fair value of Green's property, plant and equipment exceeded its carrying amount by Bir 400,000 in its November 30, year 1 consolidated statement of financial position, what amount should Star report as goodwill?

A. Birr 350,000

B. Birr 400,000

C. Birr 0

D. Birr 750,000

$$15 * 250,000 = 3,750,000 \text{ Consideration transfer}$$

$$\text{Fair value Net asset} = 3,000,000 + 400,000 = 3,400,000$$

A

$$\text{Goodwill} = 3,750,000 - 3,400,000 = 350,000$$

93) Which of the following is a characteristic of a joint venture?

- A. The initial carrying value reported must equal the book value of resources contributed
- B. Debt incurred by the venture is reported on the venturers' statement of financial position
- C. The partners can be individuals, but cannot be businesses.
- D. The partners all jointly share in managing and controlling the venture.

D

94) On March 31, Bora Company has the following information about cash at bank

Cash balance per bank statement Birr 10,500

Credit memo Birr 4,000

Bank debit memo Birr 300.

Outstanding checks Birr 1,500

Deposits in transit Birr 1,200

Based on the above information, what is the amount of the adjusted cash balance per bank statement at March 31?

A. Birr 10,800

B. Birr 10,200

C. Birr 11,700

D. Birr 14 500

Cash balance per bank statement	Birr 10,500
+ Deposits in transit Birr	1,200
- Outstanding checks Birr	<u>1,500</u>
	= 10,200

B

95) Which of the following statements is correct?

- A. In the WACC calculation, we must adjust the cost of preferred stock for tax.
- B. The cost of new equity (R_e) could possibly be lower than the cost of retained earnings (R_a) if the market-risk premium, risk-free rate, and the company's beta all decline by a sufficiently large amount
- C. We should use historical measures of the component costs from prior financings that are still outstanding when estimating a company's WACC for capital budgeting purposes.
- D. A firm's cost of retained earnings is the rate of return stockholders require on a firm's common stock

D

96) Refer to the following lease amortization schedule. The five payments are made annually starting with the beginning of the lease. A Birr 2.000 purchase option is reasonably certain to be exercised at the end of the five-year leave. The asset has an expected economic life of eight years.

Lease Payment	Cash Payment (in birr)	Effective Interest (in birr)	Decrease in Balance (in birr)	Outstanding Balance (in birr)
				34,600
1	8,000	??	??	26,600
2	8,000	2,660	5,340	21,260
3	8,000	2,126	5,874	15,386
4	8,000	1,539	6,461	8,925
5	8,000	??	??	??
6	2,000	182	1,818	0

What would be the amount of interest expense recorded with payment 5?

- A. Birr 2,000
- B. Birr 7,107
- C. Birr 1,107
- D. Birr 893

D

Interest Rate= Effective Interest/ Outstanding Balance of Previous Month
1539/ 15386 = 10.00025%
Interest payment = Outstanding Amount X Interest Rate
= 8925*0.100025
= 893

97) Which of the following is **not a revenue source for the Regional Governments of Ethiopia**

A. Profit and sales tax collected from individual traders.

B. Taxes collected on income from air, train and marine transport activities.

C. Rural land use fee.

B

D. Tax on income from inland water transportation.

98) Which of the following is correct about activity based costing?

- A. It tends to allocate too great a proportion of overheads to high volume products
- B. Assign costs to a product on the basis of the product's consumption of the activities
- C. It assume that all products consume all resources in proportion to their production volumes
- D. It allocates equal amount of overheads to all products

B

99) Which of the following procedures is **not performed as a part of planning an audit engagement?**

- A. Performing analytical procedures
- B. Confirmation of all major accounts
- C. Designing an audit program
- D. Reviewing the working papers of the prior year

B

100) An impairment loss is:

- A. The amount by which the carrying amount of an asset exceeds its market value.
- B. The amount by which the recoverable amount of an asset exceeds its written down value.
- C. The amount by which the recoverable amount of an asset exceeds its carrying amount.
- D. The amount by which the carrying amount of an asset exceeds its recoverable amount

D